

THEFT INVESTIGATION REPORT

Mile High Loss Investigation · Our reference MHLI-2025-3318

INSTRUCTIONS

Instructed by:	Front Range Commercial Insurance Group, Inc.
On behalf of:	Beacon Mechanical Services, Inc.
Policy number:	
Author:	Ottoline Baptiste-Nakagawa, CFE
Instructed by:	Front Range Mutual Casualty Insurance Company
Instructed on:	15 September 2025
Site attendance:	16 September 2025
Scope:	Circumstances, security condition compliance and quantum

PROPERTY TAKEN, BY SECTION

Trailer T-2 — tools:	Threading machine, roll groover, press tools, cordless kits
Trailer T-2 — instruments:	Two Fluke thermal imagers, Shortridge balancing hood
Laydown — plant:	Miller engine drive welder, chained to the trailer tongue
Conex — installation:	1,400 ft type L copper, fittings, valves
Laydown — installation:	Four Trane 5-ton condensing units, two more damaged

THEFT INVESTIGATION REPORT

Circumstances and findings

CIRCUMSTANCES

Circumstances:

A ground-up 310,000 sq ft distribution building. The insured's scope is the rooftop package, gas piping, plumbing rough-in and office HVAC. The site is shared with several trades and the conex breached was shared with the electrical subcontractor.

FINDINGS

Findings:

Entry was by bolt cutter to the trailer padlock and by levering the conex locking bar. The selection is discriminating: high-resale tools and copper were taken and low-value consumables were left, which indicates a targeted rather than opportunistic theft. Serial numbers for the threading machine, the roll groover and the welder were filed with the National Equipment Register on 14 September. The cut chain, the cut padlock and the sheared locking bar have been bagged and retained, and nothing has been repaired or cleared. On the security condition: the copper and the condensing units were on the open laydown rather than in a locked container or a secured interior room, which is what the condition requires for high-theft property.

Date of loss:	13 September 2025
Cause of loss:	Theft — forced entry to a job trailer and a shared container
Incident reference:	BMS-AUR-2025-0044
Injuries reported:	0

THEFT INVESTIGATION REPORT

Preliminary quantum and reserve advice

PRELIMINARY QUANTUM

Basis:

The figures below are preliminary and are given for reserving purposes only. They are subject to verification and may move as the investigation continues.

Tools from trailer T-2:	USD 71,400
Engine drive welder:	USD 11,200
Copper pipe, fittings, valves, pre-insulated	USD 96,800
Four Trane condensing units:	USD 27,600
Two damaged condensing units:	USD 9,400
Trailer, conex and temporary power:	USD 7,900
Estimated loss:	224,300
Currency:	USD

ON WHICH SECTION ANSWERS

Comment:

The tools, the welder and the trailer damage are contractors equipment and sit on Section 2. The copper, the fittings, the valves and the condensing units are material intended to become a permanent part of the building and sit on Section 1, the installation floater — which is written excess over any builder's risk carried by the owner or the general contractor. The general contractor's position on its own builder's risk should be established before this is settled.

RECOMMENDATION

Recommendation:

Apply the copper theft deductible to the Section 1 heads and the equipment deductible to Section 2. Establish the general contractor's builder's risk position before payment.